

THE ROLE OF TOURISM IN THE GLOBAL ECONOMY: A COMPETITIVENESS ANALYSIS

Gorbunov Alexander¹ Tatuev Arsen² Taran Oleg³

•

¹Pyatigorsk State University

²Kabardino-Balkar State University named after HM Berbekov

³Pyatigorsk State University

gorbunov@pgu.ru

Abstract

Abstract: In recent decades, tourism has become a key driver of economic growth and global competitiveness. This article examines the contribution of tourism to the global economy, analyzes its impact on employment and international trade, and considers regional differences in the competitiveness of tourist destinations. Particular attention is paid to the European Union countries, which occupy leading positions in the Tourism Competitiveness Index (TCI) developed by the World Economic Forum. Factors contributing to the EU's success in this area are considered, including the business climate, infrastructure, education, and information technology. The impact of tourism on the economic development of Russia, as well as the EU countries, is analyzed. Particular attention is paid to the need to improve public policy in the field of tourism and to strengthening the role of public organizations in coordinating actions between various industry participants. Strategies such as growth maintenance, radical changes, and the strategy for achieved growth are discussed in the context of their practical implementation, as well as the use of tools such as flexible pricing, marketing campaigns, and the introduction of innovations. The implementation of these strategies is expected to lead to long-term sustainability, revenue growth and enhanced competitiveness of the industry.

Keywords : tourism, global economy, competitiveness, TCI index, European Union, employment, infrastructure, economic growth.

I. Introduction

Tourism, with its ability to generate income, create new businesses, increase property values, develop infrastructure, and improve public services, has become an important factor in economic development at the local, regional, and national levels. However, in many regions, mass tourism has led to unplanned development, resulting in the degradation of natural, social, and cultural resources. These processes have changed tourist behavior, and the market itself has become more fragmented and diverse as social groups have expanded and become more divided. Travel that seeks to minimize negative impacts on the environment, society, and the economy has been termed "sustainable tourism." However, its implementation is not always successful, particularly in cases where mass tourism negatively impacts host countries, and economic benefits rarely reach local communities. In response, adventure tourism, off-the-beaten-path travel, luxury tourism, and various forms of sustainable tourism have grown in popularity. Increased environmental awareness and social responsibility are

encouraging more and more people to choose sustainable tourism practices. Sustainable tourism development focuses on preventing environmental damage, as such consequences can have a significant impact on future quality of life. In the 1980s, sustainable tourism became an important focus of academic research. Sustainable tourism aims to meet tourist needs in a way that attracts new visitors while simultaneously improving the livelihoods of local communities and preserving natural and cultural resources. During the COVID-19 pandemic, this research examines the impact of sustainable tourism on communities and its relationship to long-term sustainable development.

Strategy development approaches are closely linked to the analysis of complex data, which requires the use of a variety of methodological tools. These include logical modeling, inductive and deductive analysis, and statistical and economic techniques (Fig . 1). These tools support the process of systematizing information and developing a solid strategic foundation.

It is also important to develop coordination mechanisms and coordinated actions among all tourism industry participants. This will ensure a synergistic effect for the effective achievement of shared goals. These measures form the foundation of an effective strategy capable of ensuring growth and sustainability both nationally and internationally, strengthening the economic foundation of tourism enterprises and the entire sector.

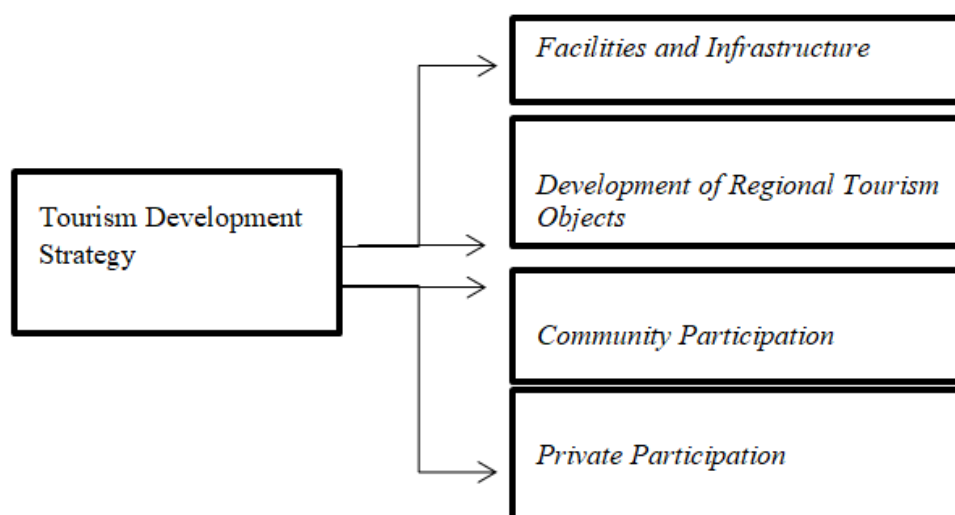


Figure 1. Tourism Development Strategy

An analysis of the current development trends in the tourism industry reveals a number of important issues that must be addressed when formulating strategies for this sector. This includes the need to create a comprehensive regulatory framework that promotes optimal operating conditions for tourism and hotel businesses, taking into account their economic, managerial, and administrative contexts. Furthermore, emphasis is placed on strengthening the role of government regulation, upholding the interests of all stakeholders in this sector. Furthermore, the importance of the active participation of public organizations in preserving the fundamental principles of tourism development and establishing cooperation between government agencies, business representatives, and educational and scientific institutions is emphasized.

These findings form the basis for a strategy of profound change that calls for joint efforts by government and the private sector to thoroughly examine and address the challenges posed by the loss of tourists, stimulate

investment, and develop programs that support the growth and strengthening of the sector.

Particular attention should be paid to a strategy aimed at maintaining stability in an unfavorable economic environment, which uses customer retention measures, including offering additional services, innovation, and improving the overall quality of service, which helps to strengthen customer loyalty even in more challenging economic conditions.

On the other hand, the achieved growth strategy is used in situations where a company has limited capacity for innovative development or when the market is close to saturation. Here, efforts are focused on optimizing current operations and maintaining existing sales levels by improving and modifying the tours or services offered.

The development of these strategies relies on an arsenal of tools capable of addressing the challenges in the current context. These tools include flexible pricing, service modernization, expanded partnerships, brand strengthening, marketing and PR campaigns, as well as improved management and innovation.

Expected results from implementing these strategies include, but are not limited to: successful achievement of goals, increased revenue, enhanced market position, sustainable satisfaction of tourist needs, maximized return on capital investment, and enhanced competitive advantages. This leads to the long-term sustainability and prosperity of tourism and hospitality businesses.

II . Methods

Developing a strategy for the tourism industry involves several stages, with each step crucial to the final outcome. Research confirms that the approach to strategic planning should be systematic and goal-oriented, based on clearly defined priorities and a deliberate schedule of specific actions.

At the initial, intellectual stage, the fundamental principles upon which the strategy will be built are established, including a clear mission that unites the overall goal, vision for the future, and core functions of the industry. This mission is aimed at increasing the industry's efficiency and creating conditions for modern competition.

The next step is diagnostics, which involves analyzing external and internal conditions, opportunities, and threats to inform the formulation of long-term and short-term goals. These goals must be refined into strategic objectives that will serve as guiding principles in the implementation of the strategy.

Next comes the analysis of strategic alternatives, which focuses on evaluating and comparing various approaches and development paths to select the most appropriate and promising one. Choosing a strategy involves weighing all the pros and cons and taking into account the unique aspects of the enterprise, whether these include ultimate goals, management priorities, strategic resources, scale of operations, or competitive advantages.

The final stages—strategy implementation and subsequent effectiveness evaluation—focus on the practical application of the chosen plan and monitoring the achieved results. This allows for rapid adjustments in the event of unforeseen changes in the industry or external environment and ensures business flexibility, a key aspect of a successful strategy in the dynamic tourism industry.

III . Results

When developing a strategy for the tourism industry, primary attention should be paid to its integration with the state's socioeconomic goals. This includes stimulating the development of technological innovation, attracting investment, ensuring economic stability, and promoting the overall well-being of citizens.

It is important to take into account the geographical location of border areas, as by doing so you create fertile ground for the tourism industry to flourish thanks to natural advantages and international cooperation.

Improving the quality and diversity of tourism and hotel services is essential to strengthening the market's position and ensuring its dynamic development. When planning regional economic strategies, special attention should be paid to ensuring that the offerings created meet the needs and expectations of tourists, and that their

implementation is aimed at satisfying the actual needs of visitors. This will foster the conditions not only for successful competition but also for sustainable socio-economic progress.

IV . Discussion

I. Subsection One

Over the past twenty years, tourism has emerged as a leading sector, stimulating competitiveness in the context of expanded production within a capitalist economy. With advances in tourism infrastructure and standardization of services, the industry has become a vital component of the global economy. Tourism's contribution to employment is particularly significant: one in ten jobs is related to this sector, with women holding 54% of these positions, compared to 39% in other sectors.

According to the World Tourism Organization, in 2022, industry revenues contributed 10.2% to global gross domestic product, accounting for 30% of global service exports. For 38% of countries, tourism has become the primary source of foreign exchange. Before the pandemic, annual international tourism growth remained at 5.1%, reaching 1.5 billion international travelers in 2019.

Europe traditionally maintains its leading position in global tourism. In 2023, EU countries accounted for over half of international tourist arrivals, generating approximately €407 billion. Regionally, Europe controls 51% of the global tourism market, surpassing regions such as Asia (25%), the Americas (30%), Africa (16%), and the Middle East (5%). Europe is primarily focused on domestic tourism, as only 9% of Europeans prefer to travel outside their own region. This preference for local destinations is confirmed by the fact that every second European travels within the continent at least once a year. Tourism contributed 10.4% of GDP to the EU as a whole, with particularly strong performance in the economies of Croatia, Iceland, Greece, Portugal, Spain, Italy, and Malta, while the tourism sector is less significant in Scandinavia and Eastern Europe.

Since 2007, a comprehensive metric—the Travel and Tourism Competitiveness Index (TTCI)—has been used to assess the competitiveness and sustainable development of the tourism sector. This comprehensive tool was developed by the World Economic Forum (WEF) in collaboration with global industry and business organizations and covers 140 countries.

The TTCI comprises four sub-indices based on 14 variables and 90 precise indicators assessing both direct and indirect factors influencing the success and progress of tourism. Key factors include the quality of the business climate, the effectiveness of business legislation, security and healthcare infrastructure, educational and transportation advancement, labor market flexibility, and innovation indicators such as R&D levels and mobile phone and internet penetration. Also significant are public policy priorities in tourism, price competitiveness, environmental sustainability, and cultural and natural resources.

An analysis of World Economic Forum data demonstrates the European Union's (EU) superiority in tourism competitiveness: the average TTCI index for EU countries is 4.3, higher than the averages for the Americas (3.9) and Asia (4.2). Notably, of the 30 countries with the highest index, 16 are in the EU, led by the triumvirate of Spain, France, and Germany, each with an index of 5.4, adjusted for the latest assessments. This significantly exceeds the average not only for Europe but also for the world (3.8). For example, Italy, Greece, Austria, and Portugal also rank significantly higher. At the opposite end of the spectrum, Cyprus ranks 44th among European countries in the overall index, although it has shown a positive trend—an increase of 8 positions since 2018, thanks to active government support for the tourism industry.

The European Union dominates in many key areas of competitiveness assessment, particularly with excellent results in security (5.8 out of 7), healthcare (6.2), education (5.0), and information technology (5.4). While slightly lower in tourism infrastructure (4.9), land transport networks (4.1), and environmental sustainability (4.7), these scores are still above average and indicate the high quality of services offered.

However, some areas are of concern, such as the state of the business environment, the development of the aviation industry, and innovation progress, where Europe still has room for improvement. According to the 2020 Global Innovation Index, only four European countries – the Netherlands, Denmark, Finland, and Germany –

ranked among the top 10 innovation leaders. High costs of tourism services due to hotel pricing policies, tourist taxes, and high fuel excise duties, as well as strict visa policies, may also limit the EU's competitiveness.

However, key indicators for determining the potential of sustainable tourism in EU countries in the near and long term are factors that assess the natural and cultural potential, the environmental sustainability of the region, and the priority of this area in public policy.

In the 20th century, the concept of sustainable development gained significant momentum as a crucial principle for socio-economic systems. Over time, anthropogenic influences disrupted the natural self-regulating processes of the biosphere, which, in turn, triggered global environmental shifts and contributed to a deterioration in the quality of life on the planet.

In response to growing concerns about the planet's environmental state and the future of human civilization, in 1983 the UN initiated the creation of the Commission on Environment and Development, chaired by Norwegian Prime Minister Gro Harlem Brundtland. The Commission's mandate was to analyze the complex interrelations between environmental and socioeconomic issues and develop sustainable development strategies for various regions of the globe. This era was characterized by an understanding of the need for a renewed approach to global development.

"Sustainable development" was officially defined in 1987 by Brundtland in his report "Our Common Future." The concept's essence lies in achieving the needs of contemporary society without compromising the opportunities of future generations. Key aspects of sustainable development include meeting the basic needs of the most vulnerable segments of the population and taking into account environmental limitations determined by existing technologies and social organization.

Today, tourism plays a fundamental role in the global economy, attracting millions of people traveling for leisure, business, or cultural enrichment. Despite its significant contribution to economic development, this sector also poses a number of serious environmental and socioeconomic challenges. Therefore, the industry needs to transition to a sustainable tourism model that combines economic efficiency with environmental protection and social justice.

The economic efficiency of tourism reflects the degree of optimal use of resources over a given period of time. It depends on the level of tourism services in the region, the organization of tourism activities in the country, and the efficiency of tourism companies.

The magnitude of the economic return of tourism is related to a number of criteria:

1. Equal distribution of economic benefits. Tourism can promote economic equality by attracting investment and generating revenues that are dispersed across all levels of society within the local economy.

2. Increasing the prosperity of key economic sectors. The revitalization of the tourism industry stimulates the development of related sectors, such as the hotel and transportation industries, as well as information and tourism services, increasing their profitability.

3. Additional financial flows. Tourism accelerates the economic enrichment of a region by attracting external resources, thereby ensuring the development of a diverse local economy and stimulating the development of additional business opportunities.

4. Infrastructure upgrades. The tourism industry is a powerful catalyst for modernizing local infrastructure, including media, public services, and transportation networks, which generally improves the quality of life for residents and makes the region more attractive to visitors.

The social effectiveness of tourism is demonstrated through the improvement of living conditions in society and successful activities in the field of tourism and recreation, which influence the social well-being of the local population.

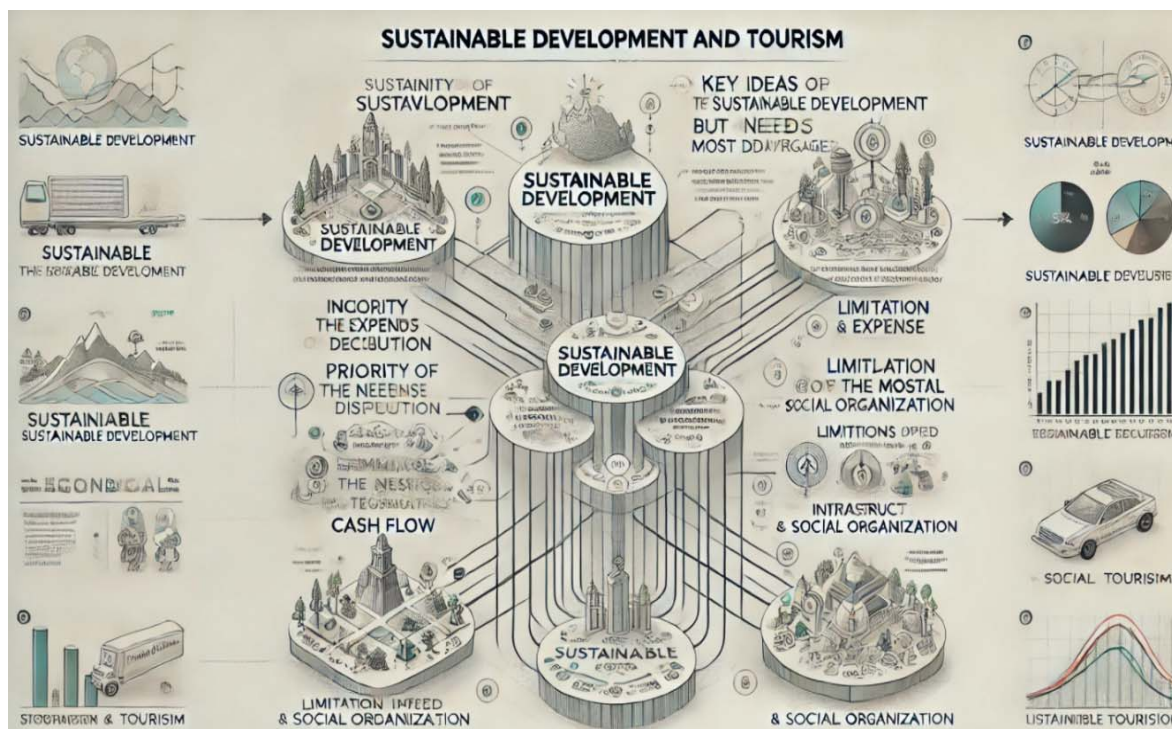


Figure 2. The relationship between sustainable development and tourism
 (Source: author's development)

II . Subsection Two

Based on the information presented in the table, France, Spain, and Italy stand out among the world's leaders in terms of natural and cultural resources, with an index approaching six, second only to China. Significant biological and landscape diversity characterizes the territory of the European Union. Despite a high population density and active economic processes, the EU has preserved exceptional ecosystems to a considerable extent—from mountain peaks to coastlines and wetlands. Europe's natural wealth is unique due to its geographical diversity, including numerous islands, as well as variations in geological, orographic, soil, climatic, and cultural contexts.

The European Union is particularly distinguished by the number of protected natural areas. As of 2023, Spain has 49 biosphere reserves out of 686 recognized globally, in addition to hundreds of national parks, nature reserves, and other protected natural areas. These sites account for more than a quarter of the EU's land and inland waters, as well as almost a third of its territorial waters. Europe is responsible for 65.6% of all protected natural area locations registered by the UN, although they account for only 12.9% of the world's total area, highlighting the comparatively small size of these areas in Europe.

Europe's cultural and historical contribution is comparable to its natural wealth and is expressed in the diversity of cultures that have left their mark on human history. In 2020, 22% of UNESCO's World Heritage Sites were located in Europe, with Italy leading the list (54 sites), followed by Spain (47), and France and Germany (44 each). This heritage reflects not only architectural structures but also regional traditions—such as festivals, music, dance, customs, and gastronomy—that define the unique cultural essence of European countries.

The cultural and environmental interests of tourists have become key factors influencing the tourism economy. Modern travelers are increasingly abandoning the usual beach vacations in favor of unique cultural and natural destinations. They are willing to invest in excursions to historical sites, visits to national parks and nature reserves, and immersive experiences with the local culture and way of life.

Growing demand for personalized and environmentally conscious tourism is supporting a variety of forms—from green tourism to agritourism and culinary tours. These destinations are becoming increasingly popular and showing significant growth. Sustainable tourism is moving from niche to mainstream, with 87% of users of the leading booking platform Booking.com stating their desire to follow its principles.

A significant statistic is the growth rate of ecotourism revenues, which is currently at 20% annually—six times higher than the overall growth of the tourism industry. These data indicate a shift in tourist behavior, a shift toward a more conscious and responsible approach to travel, and highlight the importance of sustainable development in the global tourism industry.

In the field of tourism, the main social performance indicators include the following aspects:

- improving the quality of life of the population in regions with developed tourism, which contributes to raising their well-being;
- modernization of recreational infrastructure, creating conditions convenient for both visitors and local residents;
- protection of natural and cultural values in order to preserve historical and natural monuments; bringing unused territories into circulation, which allows for the rational use of land resources; providing education and qualifications to local residents to create new jobs and develop skills;
- strengthening cultural ties through encouraging mutual cultural enrichment and cooperation with neighboring territories.

Sustainable tourism requires an active environmental approach, including minimizing environmental impacts, such as pollution control, conservation of natural resources, the creation of protected areas, and effective waste management. This approach is responsible for reducing adverse impacts on ecosystems, such as biodiversity loss or pollution, and also prevents an increase in the carbon footprint of transport and construction.

Sustainable tourism must also support social development in host regions by engaging local communities in tourism projects and ensuring a fair distribution of benefits. It is important to protect and promote local traditions to avoid the loss of identity and cultural traditions. Tourism can be a source of social transformation, cultural exchange, and understanding, but it can also have negative consequences, such as cultural commodification and the destruction of traditional ways of life.

Active community engagement and empowerment are essential for sustainable tourism. Key components include protecting cultural heritage, supporting community enterprises, and ensuring a fair distribution of economic benefits. While tourism generates economic benefits by providing jobs and developing infrastructure, overreliance on this industry can lead to economic vulnerability. Sustainable tourism strategies focus on economic diversity, supporting local entrepreneurship, and implementing responsible tourism practices to ensure long-term economic stability.

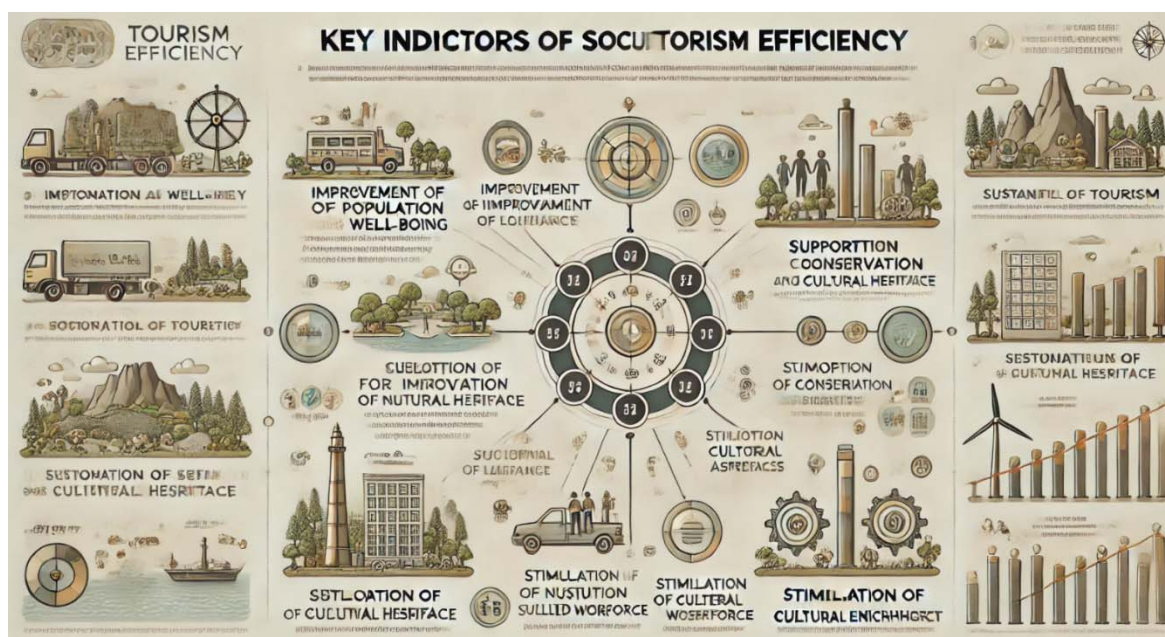


Figure 3. Key indicators of social performance of tourism, as well as its impact on the environment, social and economic aspects
(Source: author's development)

Unfortunately, as tourism grows, its negative impacts become more visible, raising growing concerns. Experts emphasize that approximately half of natural and cultural heritage sites are currently under severe pressure due to intense tourist influx. Standardized mass tourism can lead to environmental degradation, pollution, and, in extreme cases, destruction, threatening the ecological balance of such sites.

Climate change is one of the major challenges facing the modern world, and tourism plays a significant role. According to data, the tourism industry produces between 5 and 12.5 percent of global carbon dioxide emissions, accounting for all greenhouse gases that contribute to global warming. The majority of these emissions come from transportation, with air travel accounting for 40 percent, accounting for more than half of international tourist traffic, and road transport for 32 percent. Hotel services and their climate impact account for 21 percent of emissions, including energy consumed by air conditioning, heating, and pool maintenance systems.

If current tourism trends continue, CO₂ emissions could increase by 135% by 2035, which would have a catastrophic impact on the environment, the ozone layer, and natural resources, not only in popular tourist destinations in Europe but also globally. This prospect underscores the need for immediate action to reduce the global tourism industry's carbon footprint.

References

- [1] Sustainable Development of Tourism. World Tourism Organization – Definition // URL:<http://sdt.unwto.org/content/about-us-5>
- [2] RA Gakaev, IA Bayrakov, MI Bagasheva, Ecological foundations of the optimal structure of forest landscapes in the Chechen Republic. 2006.pp. 50-52.
- [3] Global Innovation Index 2020.p.33
- [4] World Tourism Barometer.Volume 18.Issue1.January 2020. WEB UNWTO.s3, eu-west-1.am
- [5] J La mitad de los sitios de Patrimonio mundial natural estan amenazados.InformeWWF. 66 // URL: <http://ecodiario.eleconomista.es/medio-ambiente/noticias/7472644/04/16>.

[6] AS Salamova, Socio-economic factors in the fight poverty and hunger in the modern world: the scientific approach of Amartia Kumar Sen, 2023, 17(1), pp. 237-245.

[7] AS Salamova, Global networked economy as a factor for sustainable development, 2020, p. 03053.

[8] Weston, R., Guia, J., Mihalic, T., Pratt, L., Ferrer-Roca, N., Lawler, M., and Garatt, D., European tourism: recent developments and future challenges. European Parliament. Policy Department for Structural and Cohesion Policies. Directorate General for Internal Policies

[9] A. Novara, T. La Mantia, J. Rühl, L. Badalucco, Dynamics of soil organic carbon pools after agricultural abandonment. *Geoderma*, 235-236: 191-198 (2019).

[10] V. Lopes, S. M. Pires, and R. Costa, 'A strategy for a sustainable tourism development of the Greek Island of Chios', *Tourism*, 2020, doi: 10.37741/T.68.3.1

[11] S. Pranee, T. Kortana, N. Wongjunya, and P. Suchookorn, 'The potential and strategy on tourism promotion and development in the eastern economic corridor: A case study of the eastern province cluster 2, Thailand', *African J. Hosp. Tour. Leis.*, 2020.